



“The obsession with unit sales is not something I share... It is the profitability and desirability of the brand that counts, rather than chasing volumes”

JOCHEN ZEITZ
CHAIRMAN, PRESIDENT AND CEO,
HARLEY-DAVIDSON



“Considering the strong demand and rapid shift towards premium motorcycles, HMSI will introduce new models, including in the mid-size segment”

YOGESH MATHUR
DIRECTOR, SALES & MARKETING,
HONDA MOTORCYCLE & SCOOTER
INDIA (HMSI)

business) as a prominent brand and provide immersive experiences to customers,” says Mathur. In 2019, the company had launched the Honda BigWing network (of dealerships) to exclusively cater to all categories of its premium offerings in India. “We are witnessing good response for our models, especially in the mid-size segment... Our goal is to capture a significant market share in the next few years.”

For players like Hero, too, it’s a great diversification strategy. “Hero has a huge presence in the entry-level segment, which is not growing... Each player wants to de-risk itself from its core,” says Welekar. “For Bajaj, for example, picking up of exports is critical, and entry level picking up is important for Hero, while for TVS, its electric vehicle play at the 125-200cc level is critical.”

THE ELECTRIC OPTION

Experts feel that the penetration of EVs in the segment is slow and steady. “Although the demand for EVs in the premium segment is currently not strong, we will continue to focus on our strong model line-up. However we shall continue to monitor electrification trends in this segment to assess long-term demand,” says Mathur.

As for Narang, any talk of EVs for the premium segment is speculative at this stage. “When we find any of these trends emerging across segments, we’d be ready with it.” He admits he hasn’t yet come across strong customer feedback where they want a KTM, but in an electric version.

Apart from the fuel mix, a critical challenge that mass-market two-wheeler makers fear is of brand dissociation. Recently, many biking purists took to social media to criticise Hero and Bajaj for stripping the “soul” away from iconic brands like Harley and Triumph with their India-centric models. These risks make it difficult for bike makers to manage such global brands, which is why separate premium dealerships like Honda’s BigWing work. Bajaj also tried something similar with the KTM bikes. “All brand building is done keeping in mind how the customer would look at it. We deal with each brand, each segment, very uniquely,” says Narang. “When launching our KTM bikes, what the customer is buying into is a 100 per cent KTM brand. It’s not a jointly branded product and the fact that it’s manufactured by Bajaj and jointly developed between Bajaj and KTM is the back-end, is secondary to the customer.”

Tying up with local manufacturers is also a win-win for international players as they get a ready-made dealership network, a sense of reliability, easy availability of spare parts, and manageable maintenance costs.

With all eyes on Royal Enfield’s market share, competition in India’s premium segment is gearing up for a tearing ride ahead. **BT**

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